Research Statement

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Economic progress rests on the joint strength of markets and states—two systems that coordinate resources through very different mechanisms: prices and policies. Markets create prosperity when private incentives align with social welfare, and states sustain it when they can tax, regulate, and govern credibly. Yet in many economies—especially those marked by informality and institutional weakness—both falter in tandem. Markets are constrained by frictions that distort competition and investment, while states remain fiscally and politically fragile because much of economic activity lies beyond their reach. The result is a persistent equilibrium of low capacity and missed potential. My research lies at this intersection of market and state performance. Guided by economic theory and tested through field and quasi-experimental methods, often in collaboration with governments and firms, I study how behavioral, technological, and organizational reforms can improve the functioning of markets and the state capacity.

A key strand of my research explores how social identity and norms shape economic interactions. In a paper published in the *Journal of Economic Behavior and Organization*, I study racial discrimination in labor markets, showing that workers' productivity and willingness to cooperate depend not only on economic incentives but also on the social identity of their employers. These findings highlight how social preferences can generate inefficiencies even in competitive environments. Extending this inquiry to digital markets, my paper in the *Journal of Development Economics* examines gender dynamics in an online marketplace. Using experimental buyer profiles that signal gender, I find that while women face no discrimination in prices or product quality, they experience substantially more unsolicited contact and attention from male sellers. Linguistic analysis reveals that these interactions, characterized by greater verbosity and flirtatious tone, can impose social costs and disincentivize women's participation. Together, this body of work shows that even as technology reduces transactional frictions, markets remain embedded in social contexts that shape who participates, how they are treated, and what forms of exclusion persist.

Building on my work showing how norms and social preferences shape economic behavior, I turn to how similar forces operate within the state itself—shaping its capacity and effectiveness. In a working paper on the rollout of electronic point-of-sale (POS) systems—which enable real-time reporting of business transactions to tax authorities—I (with Isabelle Cohen) find that while the technology initially increased tax compliance, these gains proved short-lived once firms realized enforcement was inconsistent. Information alone, we show, cannot overcome deeply entrenched norms of evasion when the state lacks the capacity to act on it. To complement these findings, my ongoing field experiment provides the first experimental evaluation of *consumer receipt lotteries*—a policy used globally to engage citizens in monitoring and supporting enforcement. This study will generate new evidence on whether and how such mechanisms can build a more effective and cooperative relationship between buyers, sellers, and the state, and, more broadly, how citizen participation can enhance the effectiveness of public institutions.

In parallel, my research examines how the state's internal organization—and the humans within it—adapt to technological change. In ongoing work (with Adnan Khan, Ben Olken, and Mahvish Shaukat), I conduct a randomized evaluation that integrates *computer vision* into property tax administration, using property images to algorithmically predict assessments and flag properties for reassessment. The project asks a fundamental question: how does automation reshape bureaucratic judgment, effort, and accountability? By introducing an algorithm that can both complement and challenge human assessors, it explores how technology interacts with bureaucratic incentives and discretion. More broadly, the project investigates whether emerging technologies can enhance state capacity by improving accuracy and transparency.

A related strand of my research brings these themes together to examine how market competition interacts with weak enforcement to create persistent patterns of informality. Firms do not decide whether to comply in isolation—their incentives depend on what their competitors do. In markets where evasion is widespread, compliant firms are priced out, and noncompliance becomes a self-sustaining norm. In ongoing work (with Michael Best, Anders Jensen, and Adnan Khan), we conceptualize this feedback loop as an *informality trap*—a dynamic in which weak compliance and market competition reinforce each other. This project is among the first to test, experimentally, whether such traps exist and how they shape the limits of state capacity. By uncovering how competitive forces can undermine enforcement, it advances understanding of how governments can design enforcement strategies consistent with market realities.

Just as market dynamics and weak administrative capacity limit how effectively states can govern, frictions and shocks within markets themselves can constrain economic performance. In ongoing work with Farah Said and Omar Gondal, I study how *information asymmetries* and *entrenched trading relationships* restrict firms' ability to respond to prices and realize potential gains from trade. Even when arbitrage opportunities exist, we show, market participants often fail to exploit them because of frictions such as relational dependencies. A complementary project uses high-frequency trade and remote-sensing data to examine how natural disasters disrupt agricultural networks—an increasingly urgent concern as climate change intensifies the frequency and severity of such shocks. We find that the 2022 floods in Pakistan sharply reduced trade flows between rural producers and urban consumers, with recovery patterns varying by crop type and district exposure. The results underscore that the economic impact of climate shocks depends not only on physical damage but also on the flexibility and inclusiveness of the market institutions that mediate production and exchange.

Future Directions

Across these projects, my aim is to build a cumulative account of how markets and states co-evolve: when reductions in frictions on the exchange side translate into durable gains only if paired with credible, low-cost enforcement, and when stronger enforcement is effective only if it preserves competition and inclusion. Methodologically, I will continue to combine field experiments and administrative panels with frontier empirical methods to trace effects on market outcomes (entry, pricing, participation, network resilience) alongside state outcomes (reporting, audit yield, and assessment accuracy).

Looking ahead, I am extending this agenda to study how states can build credibility and inclusion through new forms of monitoring, accountability, and citizen engagement. One project will investigate the determinants of whistleblowing—who chooses to report misconduct and how citizen reporting can be institutionalized as a credible mechanism for accountability. Another will examine customer-driven discrimination in digital marketplaces, studying how demand-side behavior constrains women's participation and what design features might mitigate these barriers. A third will evaluate the implementation of a national *track-and-trace* system that uses digital monitoring to improve supply-chain compliance. Together, these projects advance a broader inquiry into how technological and institutional innovations can strengthen the social foundations of effective and equitable governance.

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